10. Income taxes

The income tax provision consists of the following:

	Year Ended	
	December 31, 2013	December 25, 2012
Deferred income taxes:		
Federal	$ 1,776,586	$ 1,755,802
State	253,824	184,941
Deferred income tax benefit	2,030,410	1,940,743
Net change to valuation allowance	(2,030,410)	(1,940,743)
Total income tax provision	$ —	$ —

A reconciliation of the federal income tax provision at the statutory rate with actual taxes provided on loss from continuing operations is as follows:

Table of Contents

	2013	2012
Statutory U.S. tax rate	34.0%	34.0%
State taxes, net of federal benefit	4.7%	5.0%
Stock option compensation	-1.1%	-1.8%
All others, net	0.8%	-4.2%
U.S. business tax credits	20.5%	14.3%
Valuation allowance	-58.9%	-47.3%
Taxes provided	0.0%	0.0%

Deferred taxes were calculated using enacted tax rates of 34% for federal and an estimate based on the mix of income and applicable rates by jurisdiction for state. For the year ended December 31, 2013, the state estimate was 7.1%.

The components of deferred tax assets and liabilities are as follows:

	Year Ended	
	December 31, 2013	December 25, 2012
Deferred tax assets:		
Share-based compensation	$ 1,215,085	$ 1,192,797
Net operating loss carryforwards	15,572,889	14,937,060
General business credit carryforwards	7,009,475	5,847,609
Deferred rent payable	1,936,360	1,657,060
Property and equipment	369,776	212,577
Amortization	400,845	493,356
Other future deductible items	1,103,426	1,111,586
	27,607,856	25,452,045
Deferred tax liabilities:		
Small wares	(921,481)	(796,080)
Net deferred tax assets	26,686,375	24,655,965
Valuation allowance	(26,686,375)	(24,655,965)
Net deferred tax assets net of valuation allowance	$ —	$ —

For income tax return purposes, the Company had federal net operating loss carryforwards of approximately $42,419,000 and $40,624,000 as of December 31, 2013, and December 25, 2012, respectively. The Company also had federal general business credit carryforwards of approximately $7,009,000 and $5,848,000, respectively. These carryforwards are limited due to changes in control of the Company during 2009 and 2011 and, if not used, portions of these carryforwards will begin to expire in 2020. As a result of these limitations, the carryforwards for federal net operating losses, credits, and other items is limited to approximately $18,948,000 and $15,811,000 as of December 31, 2013, and December 25, 2012, respectively.

The Company has determined, based upon its history, that it is probable that future taxable income may be insufficient to fully realize the benefits of the net operating loss carryforwards and other deferred tax assets. As such, the Company has determined that a full valuation allowance is needed at this time.